BUDGET BRIEF

MADISON METROPOLITAN SCHOOL DISTRICT

2026 PROPOSED BUDGET

WISCONSIN POLICY FORUM

BUDGET BRIEF

2026 Proposed Budget
Madison Metropolitan School District

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This analysis covers the Madison Metropolitan School District's annual budget proposal as submitted to the school board in May 2025. The budget covers the district's 2026 fiscal year, which runs from July 1, 2025 through June 30, 2026. The school board will adopt a tentative budget in June and the fiscal year will begin, but the budget will be revisited by the superintendent and board in the fall after the district receives final aid amounts from the state and adjusts for any relevant changes made in the state budget process. A final property tax levy amount for 2026 will be established at that time.

Cover photo of Madison East High School: WIKIMEDIA COMMONS | AMARKIN2015

INTRODUCTION

The approval of two massive referenda last November mark a major shift for the finances of the Madison Metropolitan School District (MMSD), providing a substantial boost in its operating budget and ushering in a series of building projects. These measures have provided breathing room for the district and its new superintendent, who is completing his first year with the Madison schools and putting forward his first budget proposal. As we will see, however, these investments in district operations, staff salaries, and capital projects will come at a substantial cost to taxpayers and have not necessarily solved all of the district's financial difficulties.

Since 2020, we have analyzed the MMSD budget each year, and once again we seek to help explain its finances, opportunities, and challenges to the broader community. Much has changed in recent months. In November, voters approved a four-year, $100 million operating referendum for the district that added $30 million to its operating budget in the current school year and will add up to $30 million in 2026 as well. District residents also authorized up to $507 million in borrowing to renovate or replace 10 schools – work on that process is just getting started.

Some aspects of district finances are unusually clear while others have become murky. These measures provide a defined pathway for the district with respect to both its operating budget and capital plans for the coming years. In like fashion, provisions in current state law provide a clear $325 per pupil increase in 2026 to the state limits that cap district revenues from local property taxes and state general school aids combined. What is for now opaque, however, is what will happen with both the state budget and state and federal aid to the district over the next year. The state budget is typically signed in the summer and could provide at least some favorable surprises for MMSD. However, the possibility of cuts to K-12 funding at the federal level could also mean setbacks in the coming months.

For now, at least, overall state and federal aid to MMSD is projected to fall in the 2025-26 school year. Combined with the referenda, these factors mean the district appears to be moving toward a greater reliance than ever before on local property taxes, which would rise sharply under this proposal. Though the proposed budget would slow the district's drawdown of its reserves, it also would dip into them or use other one-time money for the second year in a row to help pay for wage and staffing increases.

In one bright spot, however, MMSD's previously declining enrollment appears to have stabilized, at least for now. Despite previous projections that enrollment would continue to fall as it had during the pandemic, one key form of enrollment count for the district is projected to rise modestly in 2026 for the second year in a row. If sustained, this turnaround would represent a boon to both the district and the larger community.

The coming months will hold great significance for the Madison schools, with the state budget being finalized and district officials moving forward with a sweeping building program. We hope this brief, which analyzes the superintendent's proposal but does not include school board amendments, helps the larger community to follow these developments and decisions and better debate and evaluate them.

BUDGET OVERVIEW

Revenues for operations would fall without referendum

The proposed budget shows that MMSD has made progress but not yet tamed its budget challenges. Despite substantial drops in both state and federal revenues, the sharp increase in property tax revenues within its proposed operating budget would provide growth in overall revenues that outpaces inflation. The large increase in property taxes reflects both the projected decrease in state aid as well as the two referenda approved in November to increase the district's state-imposed revenue limit. This limit caps the funding per pupil that MMSD can raise through local property taxes and state general aid combined.

How Revenue Limits Work

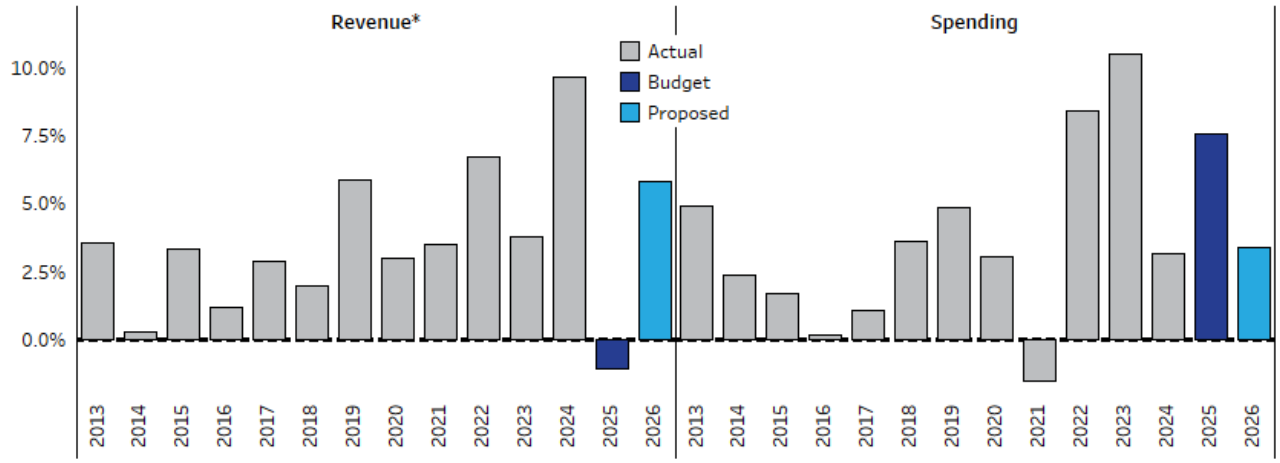
School districts are limited in the amount of revenue per pupil that they can collect from local property taxes and state general school aids combined. Traditionally, state officials increased these limits each year with inflation, but they have not always done so in recent years. Previous MMSD enrollment losses have also taken a toll since the number of students affects the limit. In November, MMSD voters approved a referendum to exceed revenue limits for the district's operating budget by $100 million over four years.

The district's core operating budget is made up of its general and special education funds, which cover the costs of instruction and other district activities. As Figure 1 shows, revenue in these two funds would increase by a projected $30.7 million, or 5.8%, to $557.1 million. The increase represents the fourth-largest percentage increase since 2013 and was also greater than the roughly 3% current rate of inflation. The bump helps the district to catch up after a hit in the current year in which the loss of federal pandemic aid left the district with a drop in overall revenues, even after factoring in the increase in December 2024 property tax bills from the referendum.

The district continues to become more and more dependent on local property taxes, which would make up nearly three-quarters of operating revenues next year, the highest percentage in at least the last 10 years. The property tax is the only source of operating revenue that is projected to grow in

Figure 1: MMSD Revenues Climb as Referendum Changes Take Effect

Percentage change in operating budget by year

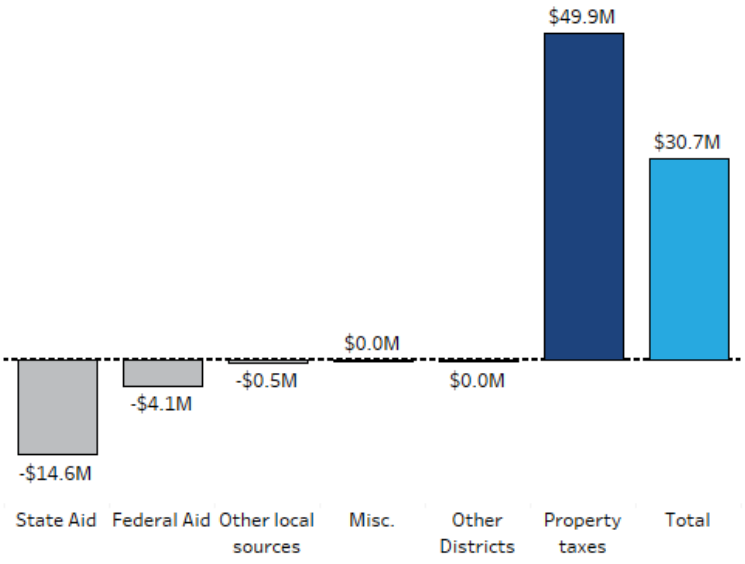


Source: Madison Metropolitan School District; *revenues do not include the one-time use of reserves.

2026, rising by $49.9 million, or 14.1%, within its general and special education funds (see Figure 2). State aid would fall by a projected 11.3% ($14.6 million), federal aid would fall by 14.1% ($4.1 million), and other minor sources of revenue would remain flat. Combined, state and federal aid would comprise the smallest share of the district's budget in at least 10 years (see Key #4). The potential effect of federal spending cuts would be particularly impactful since the district can raise property taxes to replace much of its lost state aid but cannot do so to replace lost federal revenues.

Fig. 2: Property Taxes Skyrocket, State and Federal Aid Fall

Proposed change in 2026 operating revenues by source in millions



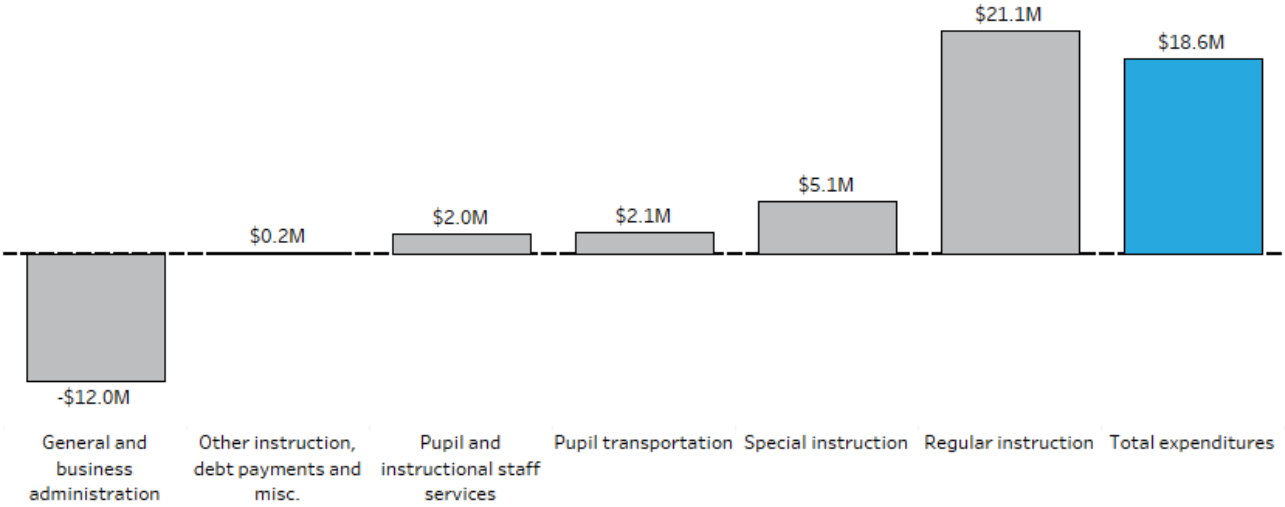
Source: Madison Metropolitan School District

Spending on operations would rise with inflation

Even with the sizable increase in property tax and overall operating revenue, spending in the general and special education funds would rise by a lesser amount. As Figure 1 on the previous page shows, this smaller 3.4% increase to $564.4 million in spending reflects the ongoing budget pressure for the district, which is running an operating budget shortfall this year and would do so again under the proposal.

Figure 3: Administration Spending Falling, Regular and Special Instruction Climbing

Projected change in 2026 operating spending by type in millions

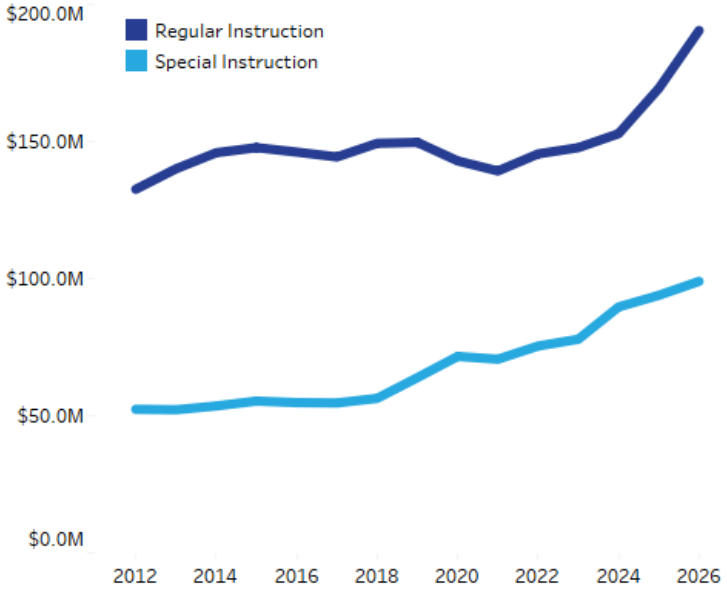


Source: Madison Metropolitan School District

There are bright spots. Under the budget, regular instruction would see a major increase in spending to $190.7 million, and special education would also rise more quickly than the overall operating budget (see Figures 3 and 4). Transportation spending would also increase while business administration spending would fall by more than 20% to $49.5 million.

Fig. 4: Regular Instructional Spending Rising Rapidly

Spending by type and by year in millions (not adjusted for inflation)



Source: Madison Metropolitan School District

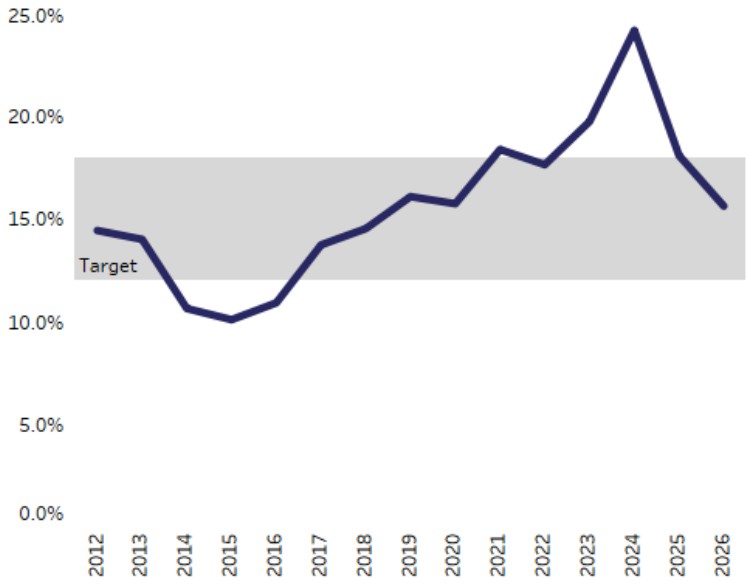
The proposal reflects the second year in a row in which the growth rate for regular instruction costs outstripped that of special education, after six straight years, from 2019 to 2024, where special education costs outgrew regular education. However, special education costs still rose as a share of the overall operating budget. The growth underlines our long-term concern that the cost of these services required by state and federal law is leaving less in total funds for the district's other needs and goals.

Reserves would fall for a second year in a row

The property tax increase would not be enough on its own to offset all of the losses in state and federal aid or completely cover the district's proposed spending. Under the proposed 2026 budget, the district would spend $9.5 million more within its operating budget than it takes in from its various sources of revenue.

Figure 5: District Reserves Have Fallen in Recent Years

MMSD general fund balance as a share of spending by year



Source: MMSD; the district aims to keep its balance between 12% and 18% of spending under an April 2025 policy that increased the previous range of 10% to 15%.

Though an improvement from the current fiscal year, when the district expects to draw down its reserves by $22.4 million, the proposed budget for next year would still reduce the funds available to MMSD for unexpected needs or setbacks. Over the course of 2026, the district's general fund balance would drop

from $92.3 million to $82.7 million, falling from a recent peak (see Figure 5 on the previous page). For now, it would remain well above the district's minimum target of 12% of annual spending, which was recently increased from 10%. If reserves continue to fall for a year or two more, the district may approach that target. The district notes, however, that its ending balance for 2025 may turn out better than expected in part because of one-time revenues from a closing tax increment district.

In typical years, MMSD uses its balance to lessen the need for short-term borrowing and maintain a strong bond rating and low interest rates on long-term debt. Reducing the fund balance too greatly could impact the district's credit rating and raise borrowing costs just as the district begins issuing bonds for a string of major building projects.

All funds budget and property tax levy would rise sharply

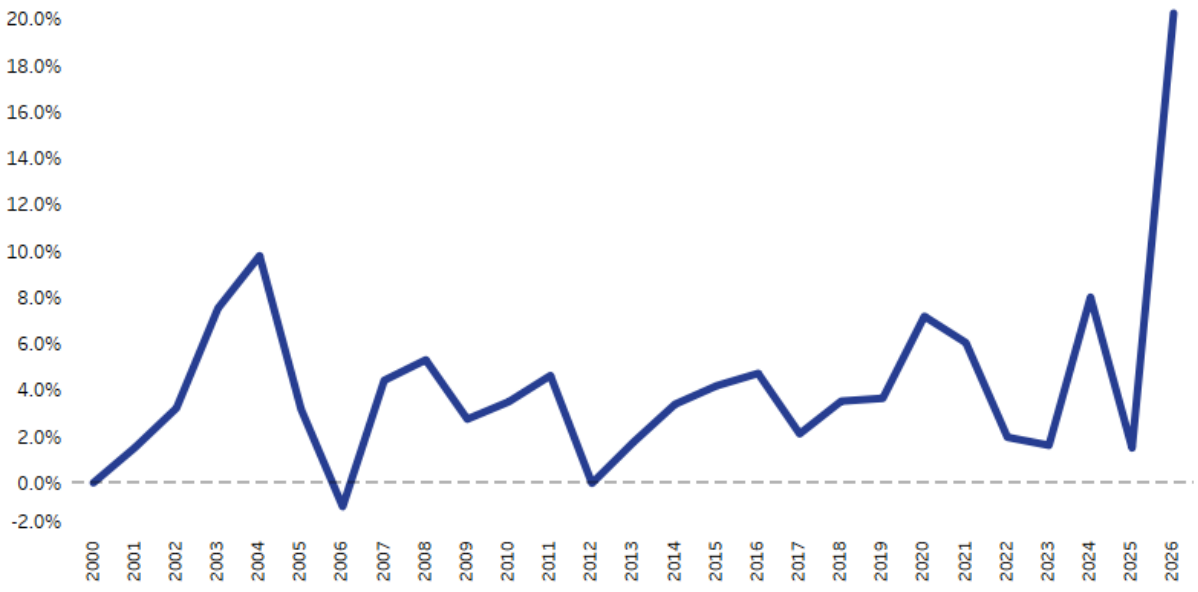
Our review also looks beyond MMSD's core operating budget to its total revenues and spending. The 2026 budget proposal projects a total increase in revenues of $61.8 million, or 10.6%, across all funds, which include the operating funds listed above as well as the district's debt service, capital projects, food service, and community recreation funds. Total spending would increase by $49.2 million, or 8%, to $661.7 million, surpassing the $646.2 million in total revenues. As a result, total fund balances for the district would fall by $15.5 million, or 15%, to $88.3 million.

Under the proposed budget, the district's total property tax levy for all purposes would rise by a sizable $80.5 million, or 20.2% (see Figure 6), to $478 million. This percentage increase is more than twice as large as the previous record for the district in our data going back to 1994. The proposal would likely raise MMSD's total levy to roughly at or above the expected levy for the Milwaukee Public Schools, which in the current year is the largest in the state.

The substantial increase in the MMSD levy reflects several factors, including the growth in MMSD's revenue limit under the state formula, the operating referendum in November that allows the district to exceed the state cap by $30 million in 2026, the sharp decrease in state aid projected for next

Figure 6: Property Taxes Would Take Historic Leap

Percent change in MMSD property tax levies by year, 2000-2026*



Source: Madison Metropolitan School District; *Budget year

year after an unusual increase this year, and a roughly $30 million increase in debt payments that will result from the separate $507 million capital referendum that was also approved by voters last year.

As a result, the tax bill on a home with an average value of $478,413 would rise by nearly 20% to $5,031, up $834 from $4,197 the year before. The average home value has climbed 42.8% over the past four years, while the district's property tax rate would rise under the proposed budget but at $10.52 per $1,000 of property value would remain below the rate of $11.40 in the 2022 budget.

The tax levy and the impact on the average home will change at least somewhat between now and December 2025 tax bills because of factors such as whether state aid differs from initial projections and whether the Madison school board chooses to raise property taxes for operations and borrowing for capital projects as much as allowed under the referenda. For example, in June 2024 the district estimated that the effects of last year's operating and capital referenda would add $960 to the taxes on the average value home in December 2025 – somewhat more than the overall increase in property taxes on that home under the current budget proposal.

Enrollment stabilizes

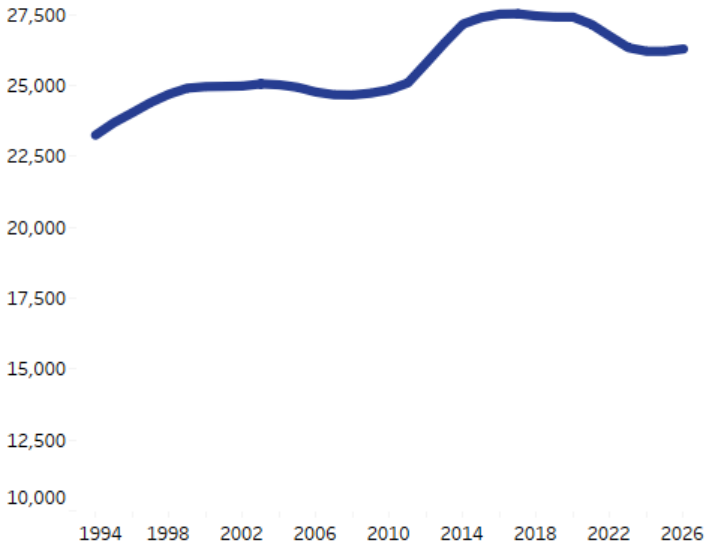
One bright spot in the current budget has been that district enrollment has stabilized in recent years after a concerning series of declines, especially during the pandemic. The new stability helps MMSD finances since enrollment is factored into the state formulas for both the district's state aid payments and its revenue limit.

Figure 7 shows the drop in recent years in the form of full-time equivalent enrollment count used to determine the district's critical revenue limit. Between 2017 and 2024, this measure fell for seven straight years from 27,522 students to 26,202, a drop of 1,320 students, or 4.8%. Since then, however, the district's revenue limit enrollment has risen slightly.

Previously, the district and the UW-Madison Applied Population Lab had projected that enrollment would continue to fall through 2028 at least, further compounding MMSD's financial challenges. So far, this prediction fortunately has not been borne out. Going forward, MMSD could seek to maximize its enrollment by helping to attract new families to Madison, limiting the number of district students who attend other schools through open enrollment, and giving thought to whether any future charter schools in its territory are authorized by the district rather than an outside entity. Expanding four-year-old kindergarten, as the district proposes in this budget, may be one step in that direction.

Figure 7: After Years of Declines, Enrollment Stabilizes

Madison Metropolitan School District 3-year average enrollment* by year



Sources: DPI and MMSD; *Form of enrollment used for calculating revenue limit.

Staffing, pay would increase

Pay and benefits to staff represent a crucial part of the district's budget, since they help to determine the quality of its educators and also account for 78% of the district's operating costs. Despite enrollment remaining much lower than prior to the pandemic and the budget once again running a shortfall, the proposal would dip into the district's reserves to add 26.5 full-time equivalent positions, a modest increase over last school year that would bring the district's total positions to 4,213.6.

Fig. 8: Base Pay for District Employees Would Rise with Inflation

Total pay increases by school year (bars) as compared to the rate of inflation used to set the maximum increase in teachers' base wages under state law (line)

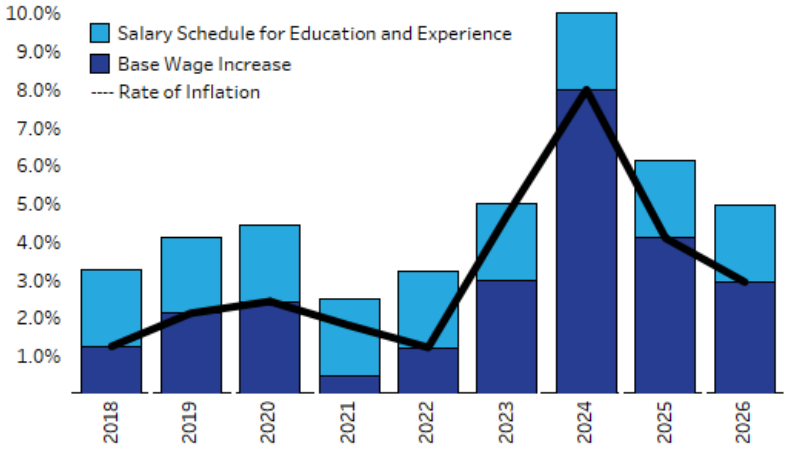


chart. In 2023, hourly wages for educational assistants, clerical, security, and food service employees were increased by $5/hour in addition to raises shown in chart. In 2024, custodians received an additional $3.20 per hour raise and trades employees received a net $5 increase. In 2025, experienced student service employees and nurses received an increase in base wages.

That would be the largest number of MMSD staff since at least 2013 despite the fact that revenue limit enrollment is at close to its lowest point over that period. The district says the increases will include new clerical and non-union professional positions and 7.7 additional teacher positions. The largest group of new hires consists of 11 new custodian positions at a cost of $917,000 to help maintain district facilities such as high schools.

The district's budget would include $4.7 million for the schedule that increases salaries for employees as they gain additional education and experience, increasing the average compensation of district employees by approximately 2% (see Figure 8). Under agreements with the district's two unions, Madison Teachers Inc. and the Building Trades Council of South Central Wisconsin, the budget would increase base wages by 2.95% at an additional cost of approximately $10.1 million. Combined, staff would see an average wage increase of 4.95%, requiring approximately $14.8 million in 2026. This would mean that base wage increases would equal the rapid rate of inflation for the third year in a row and that overall wage increases would exceed inflation for the third year.

For the second year in a row, health insurance premiums for the district are increasing by double-digit amounts and the district is not proposing any changes to its plans or benefits to slow cost increases. Those costs are projected to rise by $11.3 million to $84.4 million, an increase of 15.3%. The budget also includes $800,000 for additional costs for dental and long-term care coverage.

Notably, MMSD provides full benefits to employees who work at least 19 hours per week and allows its lowest-paid employees to pay a smaller percentage of their health-care cost. The average MMSD employee contribution for health insurance premiums is 6% of the total, which is similar to amounts for the state's largest districts but less than the share paid by state or city of Madison employees.

KEYS TO UNDERSTANDING THE BUDGET AND REFERENDA

Key #1: Why does MMSD face yet another budget shortfall?

Given the size of the operating referendum that was passed by voters in November, local residents may ask why the proposed 2026 budget for MMSD once again includes a shortfall. In considering this question, readers should first understand that the November referendum allowed the district to set its revenue limit (and therefore its property tax levy) $30 million higher than it would otherwise be in both the current 2024-25 school year and in 2025-26 as well for a total of $60 million.

Yet as we noted in last year's MMSD budget brief, the operating referendum is not necessarily enough to relieve the district's financial pressures and fund each year the maximum increase in base wages for teachers that is allowed under state law. Last year's brief notes, "The district could still end up drawing down its fund balances to cover (its budget shortfall and the maximum) increase in base wages for teachers and other staff. In that scenario, the budget for 2026 could once again face a shortfall even with additional funds from the referendum."

This is now in fact the case, with the proposed 2026 budget including an estimated $9.5 million drawdown in the district's general fund balance to cover what would otherwise be a deficit. Though smaller than the current year's budget gap, the persistence of this shortfall shows the challenges the district faces.

One contributor was the state's previous two-year freeze on revenue limits during the 2021-23 state budget, which meant districts generally could not raise more funds per pupil from general state aid and local property taxes combined. The district coped with the freeze in part by using $12.1 million in one-time federal pandemic funding in the 2024 school year to pay for 110.9 permanent positions including behavioral staff, reading specialists, and instructional coaches. The district also drew on reserves to help fund a 10% total raise for MMSD staff in 2024.

MMSD had to backfill those one-time funds in the current 2025 budget and even with the new referendum funding, the district ended up drawing down its general fund balance to cover all of its obligations. That meant that the budget for 2026 starts once again with a structural gap that eats away at the $30 million in additional revenue from the referendum.

Other impacts to the proposed budget include:

- The $14.8 million that the district is providing for 4.95% in average staff raises.
- The $12.1 million in additional costs for health, dental, and long-term care insurance.
- The net costs of adding 26.5 positions to the district's workforce.

Though the district has made progress since last year in shoring up its budget, the lingering gap for 2026 shows there is no guarantee the district will continue to do so given the ongoing rate of inflation. In 2027, the district's referendum will provide $20 million in additional growth to its revenue limit rather than $30 million, and nearly half of that would be needed to make up for the

proposed drawdown of its general fund assets. The district will probably receive $8 to $10 million in additional growth in its overall revenue limit. It's unclear whether those funds will be able to cover the growth in the district's salary, benefits, and other potential costs next year or whether MMSD might find itself dipping into its fund balance yet again for 2027.

To reduce its budget gap, the district has a variety of options, including limiting proposed pay increases and new positions and reducing health insurance costs through plan changes. On the one hand, limiting raises and positions could affect staff morale and teacher retention, and the district could continue to fund these costs for now out of its general fund balance. On the other hand, this approach would make the district's budget somewhat more difficult to balance a year from now.

Key #2: City property taxes would rise rapidly

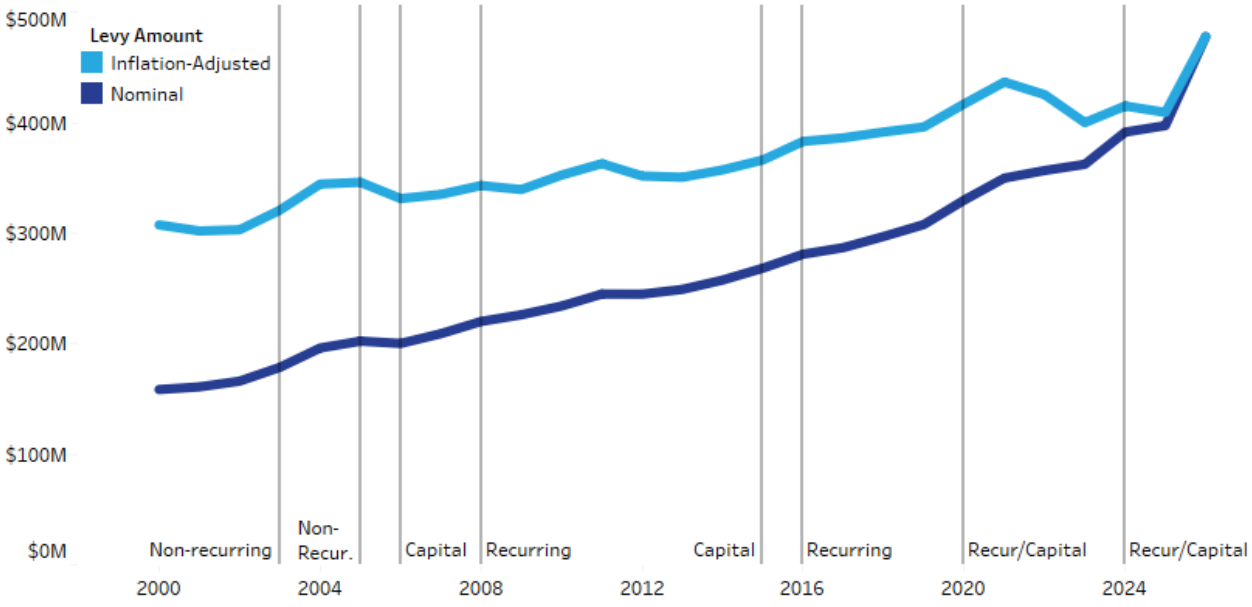
When voters approved the two November 2024 referenda for MMSD by a wide margin, they set up the likelihood of a large property tax increase on December 2025 tax bills paid for the 2026 school year. As we wrote in our last budget brief, "The rippling consequences of another…referendum would also affect property taxpayers and could put downward pressure on state aid in future years." That assessment has been borne out in both respects.

As Figure 9 shows, the proposed budget would increase the total property tax levy for all purposes by a sizable $80.5 million, or 20.2%. That may come as a surprise to some readers given that the November operating referendum only authorized the district to raise property taxes by $30 million for 2026.

As we noted earlier, the property tax increase is mainly explained by the two 2024 referenda and a decrease in state aid projected for next year. These factors allow the district to raise its levy by a

Figure 9: Referenda Contribute To Property Taxes Outpacing Inflation

MMSD property tax levy by year along with lines for approved referenda by type (2026 levy is proposed)



Sources: Wisconsin Department of Public Instruction, Madison Metropolitan School District, and U.S. Bureau of Labor Statistics

record amount despite state revenue limits that are meant to cap property tax increases. Here we explain the factors one by one:

- The November operating referendum allows MMSD to raise its revenue limit and levy for next year by $30 million more than what it otherwise could do.
- Even without the levy increase, the district is allowed to increase its revenue limit by up to $325 per pupil next year and also factor in its modest enrollment growth. That adds roughly $8.5 million to the potential tax levy.
- State limits cap the combined revenues to districts from both property taxes and general school aids. The latter are expected to fall by millions for the district in 2026, and the proposed budget would make up the difference by increasing the levy.
- As we note in Key #3, the capital referendum approved in November will affect property tax bills for the first time in December 2025, adding $30.2 million in debt payments to the levy. That was a record for MMSD in data going back to 1993.

However, while these factors explain how the district is able to raise its levy more than $80 million, they neglect the spending pressures that are leading MMSD officials to seek to do so. As we note in Key #1, these contributors include the proposed increases in spending on wages and benefits for district staff, new proposed positions, the need to replace the one-time reserve funds used in the current year, and the debt payments due on the borrowing authorized by the capital referendum.

As shown in the figure on the previous page, the district's property tax levy has risen more rapidly than the rate of inflation in recent years, pushed up in part by a series of referenda that are stacking on top of one another. These referenda raise property taxes more in Madison than some other districts because at times they also lead to a loss in state aid, as noted in Key #4.

Going forward, property taxes are likely to continue to increase more rapidly than inflation through 2028 at least, boosted by the $20 million in each year from the operating referendum. Nor will the capital projects end. As we discuss in the next key, the district will likely need to do yet another round of building projects after the one it is just beginning.

Key #3: Middle school replacement follows high school upgrades

Last fall, Madison voters approved a $507 million capital referendum dedicated to reconstructing and remodeling many of the district's oldest middle and elementary schools as MMSD continues a building program not seen in decades. This investment comes on the heels of major renovations to four of its main high schools that were funded through a separate $317 million capital referendum in 2020 (for more on this previous round of projects, see our budget brief from that year).

The November referendum included funding to replace five middle schools, two with attached elementary schools, and one with an attached high school, with projected construction costs of $443 million. Also included was $64 million to renovate two stand-alone elementary schools for a total of 10 schools at seven locations. Initially, the district considered the possibility of renovating the middle schools rather than replacing them, but ultimately all five buildings will be completely replaced. While renovation would have been less expensive, it would have still come at a substantial cost and would have also meant greater disruption to school operations.

The design and construction of the targeted buildings will take place in three phases, with a completion target of fall 2029. The first two buildings up for replacement are the combined Sherman Middle and Shabbaz High School at an estimated cost of $108 million and Black Hawk Middle and Gompers Elementary School at $84 million. These four combined schools are located on the city's east side, and each are more than 65 years old. In our budget brief last year, we noted that Sherman and Shabazz had a "D" condition rating, Black Hawk and Gompers had a "C" rating, and both middle schools were being used at less than 60% of their maximum capacity (though both have seen some enrollment increases since).

District officials and consulting staff are conducting outreach to understand community needs and incorporating that feedback into preliminary designs, which will be refined over the coming months. Construction on these buildings will start in early 2026, and they are expected to open in the fall of 2027. Both facilities will be built adjacent to the existing buildings, which will eventually be demolished but may be used for a time to house staff or students displaced by other projects.

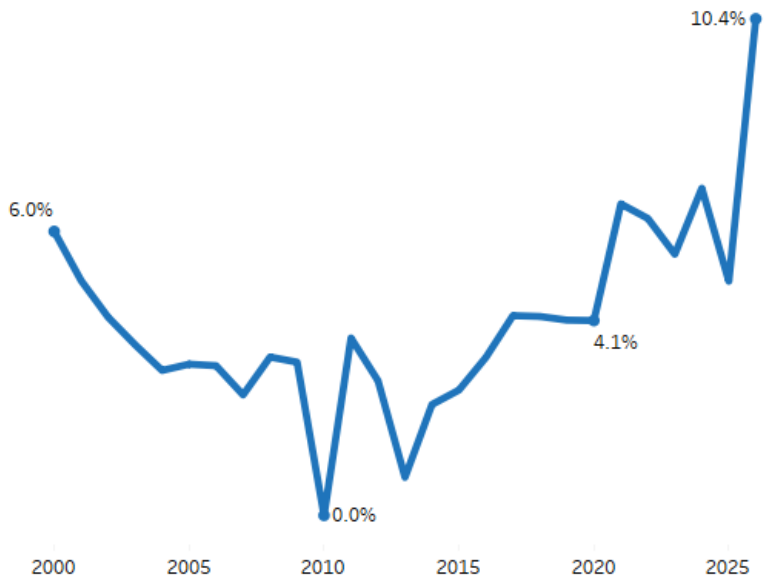
As the design phase of these two projects ends, and construction begins, the district will shift its focus to community outreach and design for the second phase of the project, construction of buildings for both Cherokee Heights Middle School and Toki Middle and Orchard Ridge Elementary School, located on the city's south side. The final phase of the project consists of rebuilding Sennett Middle School, and renovating both Anana and Crestwood Elementary Schools.

These extensive projects come at a cost – the budget proposes a $30.2 million increase in property taxes to pay for the annual payments on the necessary debt. The district will start by borrowing $200 million this June and paying off the debt over 20 years at an expected interest rate of 4.35% and an estimated cost of $14 million per year. The district anticipates borrowing the remaining $307 million by 2028 at an estimated cost of $16.3 million in additional annual payments.

The district's existing $392.8 million of outstanding debt also requires payments of approximately $19.6 million annually until 2042. In all, the budget projects an annual tax levy of just over $49.8 million to pay for all of this debt that would extend through 2048 (the payments on this latest round of debt will ramp up in the final years). Once the district's middle schools are reconstructed, the district's capital plan will then turn its attention to the elementary schools, many of which are of similar age and condition as the middle and high schools. These

Fig. 10: Capital Referendum Drives Debt Payments to Historic High

Share of district property tax levy for debt payments, 2000-2026



Source: Madison Metropolitan School District and Wisconsin Department of Public Instruction

investments will likely result in additional debt payments on top of those associated with the 2020 and 2024 referenda.

As Figure 10 on the previous page shows, the share of the proposed MMSD levy dedicated to repaying debt would climb rapidly in 2026 as the district renovates or rebuilds its four main high schools, five large middle schools, and several elementary schools. The large increases now come after decades with few major capital investments and debt payments that were generally less than 4% of the total levy – in other words, the district is now paying for projects that were avoided for many years.

Higher interest rates are adding to the costs compared to the previous round of borrowing in 2021, when the district received an extremely low rate of 1.5%. These rate increases are attributable to market changes, as the district maintains a strong bond rating.

The high property values within the district, as well as its well-funded pension and retiree health care liabilities, mean the district is well-positioned to repay this debt. However, the cost of doing so could dampen enthusiasm among taxpayers and voters for future increases in the district's operating budget.

Key #4: State and federal aid falling

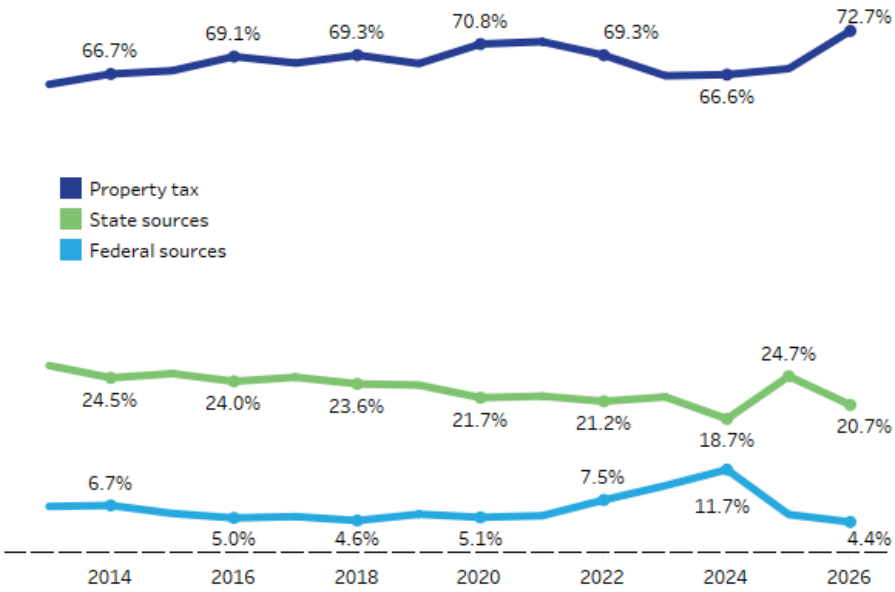
The Forum has long noted that MMSD receives relatively little outside aid, but the district expects to take a particularly large hit to its state and federal revenues. These large projected losses have been set up by an unusually large state aid payment in the current 2025 school year, recent increases in district property taxes and overall spending, the loss of federal pandemic aid, and now the prospect of further cuts to federal programs.

These factors leave the projected 2026 operating budget with the highest percentage of property tax revenue on record and the lowest percentage covered by federal aid and state aid combined since at least 2013. Figure 11 shows the long-term trend in these revenue sources.

With one major exception, state aid for the district has steadily declined each year since 2013, driven down by declining enrollment and rising district spending and

Figure 11: Property Taxes Dominate, State, and Federal Aid Shrink

Percentage of MMSD operating revenue by source*, 2000-2026



Source: MMSD. Other funding makes up less than 3% annually and 2026 is as proposed and projected.

property values. The state's formula for providing aid seeks to distribute aid based partly on both the number of students in the district and the relative property wealth that supports them. As school enrollment drops, districts tend to receive less aid. In an attempt to ensure access to quality education in both rich and poor areas of the state, the aid formula also tends to direct more aid to districts with lower property values per student.

The district's operating referenda have also added to this trend, as the state aid formula penalizes additional spending by school districts like MMSD with above average spending and property values per pupil. In 2024, MMSD increased its revenue limit and its spending by $10 million more than it otherwise would have done as it phased in the final year of its 2020 operating referendum. As a result, we calculate that after a one-year lag, the district in the current 2025 school year lost roughly $5.3 million in equalization aid, or an amount equal to 53% of the increase. That brought the total cost to property taxpayers of the additional $10 million in spending in 2024 to roughly $15.3 million over the two years. The effect of referenda in any single subsequent year is difficult to predict, but in general the additional spending will exert a downward force on state aid payments to the district.

Projected state aid in the district's operating funds in 2026 would be the second highest on record at $115.3 million, behind only 2025's $129.9 million. State revenue totals for Madison were adjusted upward in 2025 due in part to prior financial reporting errors made by the Milwaukee Public Schools, which led to that district receiving a smaller amount of state aid to compensate for an improperly large payment in the past. The 2025 bump in aid was significant enough to raise the state revenue share of the MMSD budget to 24.7%, the most since at least 2013. This will likely prove an anomaly as state aid resumes falling next year both in absolute terms and as a share of the budget.

Federal funds are also projected to fall as a share of the district's budget to their lowest level since 2013, and fall on an absolute level to their lowest amount since prior to the pandemic. The $24.7 million included in the 2026 proposal would be similar what the district received in nominal terms in 2013 and 2014. If inflation were taken into account, the proposed total would be at a lower level than most years going back to 2013. The projected drop in federal funding comes as the new administration and Congress in Washington, D.C., are attempting to cut spending in a variety of areas, including education.

Key #5: Budget would fund some new initiatives

The budget also proposes some new initiatives focused on developing the instructional workforce, expanding four-year-old kindergarten operations and ensuring the district's buildings are clean, fully staffed, and functioning adding by adding custodial positions. These new initiatives total approximately $9 million, about one quarter of the district's proposed $35.9 million funding for priority and equity projects.

One highlight of the district's budget proposal is funding for a Grow Your Own teacher training and recruitment program, to help ensure the district has adequate and quality staffing. This program would work with existing staff to provide them with training through Madison College and the University of Wisconsin-Madison to earn both an Associate's Degree as well as a Bachelor's Degree in Elementary Education. Tuition costs would be covered through the district, and participants would

receive a small stipend to cover living expenses. An additional Grow Your Own program works with the UW-Madison School of Education to accelerate licensure of existing teachers so they hold the proper credentials to teach special education. Together, these programs would cost approximately $1.5 million in 2026.

Funding is also included for expanding access to all-day four-year-old kindergarten by creating an additional 120 slots at district early care and education sites, including a section dedicated to Spanish-speaking students. Providing these services would require an additional 10.0 FTE positions. In addition, the budget proposes expanding community-based four-year-old kindergarten programs, which include existing daycares and preschools that host this programming. Funding dedicated to this program expansion totals $1.0 million. Expanding these programs could help enrollment in some cases if students who start with the program ultimately stay with the district.

In addition to these expansions, the budget would add staff around the district as noted in our staffing section. Other programs that would see expansion include career and technical education for middle schoolers, incentives to improve staff and substitute teacher retention, summer literacy programs, and the district's recreational programming.

Despite the new property tax revenue authorized though the district's operating referendum, most of the spending growth proposed in the budget would be dedicated to maintaining existing operations, not new programs or services. Though that is not out of line with the district's guidance prior to the referendum, it may have some effect on how the public views the measure.

CONCLUSION

Voters resoundingly approved the two MMSD referenda last November, with both of the measures receiving around 70% of the ballots cast. The implications of these votes are now becoming more clear. The district has been able to ride out the end of federal pandemic aid, hire additional staff, raise wages, absorb rising health care premiums without reducing staff benefits, and begin planning the largest wave of district construction projects in decades.

At the same time, property taxpayers are finding that these benefits would come at a substantial cost – a proposed 20.2% increase in the levy that is the largest for MMSD in at least a generation. Yet even that increase for December 2025 tax bills would not be enough to cover all of the proposed spending, the district would also need to dip into its reserves for the second year in a row. The referendum will also affect how the state's main aid formula treats MMSD and will likely exert downward force on future state payments to the district.

Going forward, property taxpayers will see continued pressure from the district's operating referendum – $40 million of the $100 million measure is still reserved for December 2026 and 2027 tax bills. With most of MMSD's buildings more than a half century old, spending on capital projects is also likely after the 10 schools in the $507 million capital referendum are finished. These greater costs come as MMSD is having to rely less on state and federal aid and more on local property taxes to pay these growing costs.

In one big bright spot, enrollment has stabilized for the district and is no long declining. Yet MMSD's students also have needs. Though the district has high property values, nearly half of students come from low-income families. More than one-fifth of students – a steadily growing number – speak English as a second language and 16% have been assessed as having a disability.

Unlike in most other states, Wisconsin's main aid formula does not look at these student needs, only at the district's overall enrollment, spending, and property values. Changing the state formula to better reflect the needs of students would not be easy or quick, but could have a substantial impact for Madison. With federal funding cuts already a looming concern, the city's delegation of state lawmakers and business leaders may wish to consider making the state aid formula a greater legislative priority. Without such an approach, the only other major form of relief for property taxpayers in the district would have to come from limiting spending.

We hope this brief has cast light on the Madison schools and their budget at a critical time for the district. Whatever decisions are made during the state budget and the MMSD budget, the Forum will likewise seek to explain them in a clear and impartial way to local and state officials and the public as a whole to ensure the best possible decisions for district students, staff, and taxpayers.